

Profit Niti AI CFO Report

1. Big Picture — How the Business Looks Right Now

The business has shown strong revenue growth in the first half of the financial year 2025-2026, with YTD sales reaching ₹10.77M and a healthy YTD net profit of ₹2.35M. However, the most recent month (October 2025) reveals a significant downturn, posting a net loss of ₹79,451.35 due to a sharp revenue drop and high overheads. The balance sheet is heavily reliant on long-term borrowings (₹9.24M), but the company maintains a very strong liquidity position with a current ratio consistently above 6. The overall health gauge is **Yellow**, indicating good performance with a recent concerning dip.

GREEN FLAG BOX — What's Working Well:

- **Exceptional Profitability:** Gross margins are stellar, consistently above 88% and reaching 97.78% in September, indicating a highly profitable core business model.
- **Strong Financial Buffer:** Liquidity is excellent, with a Current Ratio of 13.36 in October, meaning the company has more than enough short-term assets to cover its immediate liabilities.
- **Solid Equity Growth:** Reserve & Surplus has grown steadily from ₹213K in April to ₹2.65M in October, showing retained earnings are building owner's wealth.

RED FLAG BOX — What Needs Attention:

- **October Profit Crash:** A sudden shift from profit to a significant loss (-₹79,451) in October, driven by a 23% revenue drop and overheads consuming 97.5% of sales.
- **High Debt Burden:** Total debt stands at ₹9.24M, which is 3.4x the equity. While manageable, it represents a significant fixed obligation.
- **Volatile Cash Flow from Operations:** Operating cash flow has been erratic, swinging from positive ₹1.0M in June to negative ₹(1.1)M in July, indicating instability in core cash generation.

CFO Advice:

"Immediately investigate the cause of October's revenue decline and cost spike. Protect your outstanding gross margins by controlling selling and administrative expenses, which have recently surged to unsustainable levels relative to sales."

2. Profit Power — The Earning Engine

The earning engine is powerful but currently misfiring. The core product/service is immensely profitable, with Cost of Goods Sold (COGS) being a tiny fraction of revenue (YTD COGS is just 7.1% of sales). The primary driver of profit volatility is **Selling, General & Administrative Expenses (SG&A)**. These overheads have ballooned, reaching ₹1.17M in October and consuming nearly all revenue. The Operating Profit Margin, which was a stellar 43.9% in July, collapsed to -6.6% in October. The business model does not have a cost problem; it has a **spending control problem** in its operational expenses.

CFO Advice:

"Conduct a line-by-line review of all SG&A expenses from August to October. Identify and eliminate non-essential spending immediately. Implement a monthly expense approval process to prevent overheads from creeping above 70-75% of your gross margin."

3. Cash Management — The Lifeblood

Cash position is stable with a healthy bank balance (~₹1.8M), but the **cash conversion cycle is inefficient**. Customers are taking longer to pay (Receivable Days increased from 71 to 98 days), while you are paying suppliers much faster (Payable Days dropped

from 457 to 96 days). This mismatch ties up cash in working capital. Although financing activities (borrowings) have historically provided cash inflows, recent months show net repayments, tightening external cash sources. The business is funding its operations and asset purchases internally, which is pressuring free cash flow.

CFO Advice:

"Tighten credit terms for customers and follow up aggressively on overdue invoices (over 90 days). Negotiate extended payment terms with key suppliers to better align your cash inflows with outflows."

4. Capital & Financing — The Foundation

The company is **highly leveraged**, with debt constituting 77% of its total capital. However, the Debt-to-Equity ratio has improved from 19.6x to 3.4x as profits have boosted equity. Return on Equity (ROE) was extremely high earlier in the year (over 400%) but turned negative (-35.1%) in October due to the loss. The company has invested in fixed assets (Capex), increasing them from ₹4.57M to ₹4.98M. The foundation is built on debt, which amplifies returns in good months but exacerbates losses in bad months like October.

CFO Advice:

"Use the next period of strong profitability to accelerate debt repayment, especially the high-cost unsecured borrowings. This will reduce interest burden and financial risk, making the business more resilient to sales fluctuations."

□ Final Summary

"You have a fundamentally profitable business with a serious but fixable spending leak. Plug the SG&A leak, collect cash faster, and reduce debt to transform recent volatility into consistent, owner-friendly profits."

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